

Budgeting & Debt Payoff Planner

A monthly budget template paired with a debt payoff tracker supporting both snowball and avalanche methods.

Educational use only.
This product contains educational information and templates. Nothing here is professional, legal, tax, or investment advice. For decisions that matter, talk to a qualified professional.

01. Zero-Based Monthly Budget Template

"Zero-based" means every dollar you earn is allocated somewhere — income, savings, debt, or spending.

INCOME

Primary job (net/take-home)

Secondary income

Side gig / freelance (average)

TOTAL INCOME

Housing (rent/mortgage, utilities, insurance)

Food & dining

Transportation (car payment, insurance, gas, transit)

Debt payments (minimum)

Savings (emergency fund, retirement)

Personal (clothing, hygiene, entertainment)

Irregular (gifts, car maintenance, medical)

TOTAL ALLOCATED

\$ _____

\$ _____

\$ _____

\$ _____

ALLOCATIONS

\$ _____

\$ _____

\$ _____

\$ _____

\$ _____

\$ _____

\$ _____

\$ _____

02. Snowball vs. Avalanche — Comparison

Snowball: pay off smallest balance first (psychological (mathematically optimal)).

Your Debts:

Credit Card (24% APR): \$5000 (min: \$150/mo)
Personal Loan (8% APR): \$8000 (min: \$180/mo)
Student Loan (5% APR): \$20000 (min: \$200/mo)

Snowball Method (Pay small debts first):

Month 1–34: Pay \$530/mo to CC (\$150 min + \$380 extra)
Months 35–78: Pay \$710/mo to Personal Loan
Months 79+: Pay \$910/mo to Student Loan
Debt-free: ~6.5 years

Avalanche Method (Pay high rates first):

Month 1–34: Pay \$530/mo to CC (24% rate) (\$150 min + \$380 extra)
Months 35–68: Pay \$710/mo to Personal Loan (8% rate)
Months 69+: Pay \$910/mo to Student Loan (5% rate)
Debt-free: ~5.8 years (saves ~8 months vs. snowball)

03. Irregular Income Adjustment (For Freelance)

If your income varies month to month, use your lowest-expected income as a baseline. Any extra goes straight to savings or debt.

Expected monthly range: \$3,000–\$7,000
Budget baseline (worst month): \$3,000
Excess allocation (good months): Goes to irregular fund or debt payoff

04. Key Principles

- Total income = Total allocations (every dollar assigned)
- Build a small emergency fund (\$500–\$1,000) before attacking debt
- Minimum payments keep you treading water; extra payments build momentum

- Track irregular expenses (car repairs, gifts) or they will derail you
- Revisit this budget every 3 months; your situation will change

